
WHITE PAPER · PORTFOLIO & DELIVERY GOVERNANCE

The Talent Review List Is Rated by Managers With Something to Lose

For scarce roles, check each name against delivered work

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October 2026

EXECUTIVE SUMMARY

A talent review list is rated by managers who can lose when the people on it move. For a role you can't afford to miss, check each name against delivered work the current manager did not write.

In one large German manufacturer, managers with more of their pay tied to team results were more likely to rate someone's potential lower than performance would predict. Workers' applications for jobs elsewhere in the company rose 78 percent, from 2.9 percent of workers to about 5.2 percent, in the quarter their manager moved. A list rated by managers can therefore carry a staffing decision before a project office compares candidates. This paper does not claim every list works this way. It proposes a four-step rule for staffing a role that is hard to fill and costly to get wrong, which no study has tested, and a way to check your own list against your last three fills.

- 01** Before you fill a scarce role from a talent review list, find out who rated each name and what that manager loses if the person moves.
- 02** Ask for delivered work the person's current manager did not write, such as results recorded by the program that received it, and match it to the new role.
- 03** Let someone outside the person's reporting line decide whether the person can move, once the person wants the role.
- 04** Help the manager replace the person, and credit the manager for what the person does next.

Three names on the list

Suppose a leader in an enterprise project management office (EPMO) has to fill one role that will decide whether a late program recovers: the lead for the cutover to a new system. Few people in the company have done the job before. The leader opens the talent review list, which names the employees whose managers rate them ready for bigger roles. Three names are on it.

EXHIBIT 1

Each worker gets two ratings, and only one leaves the team**Performance rating**

Rates work in the current job. Other units cannot see it.

Potential rating

Rates readiness for bigger jobs. HR circulates high-potential lists across the company.

The list reads like a neutral record of who is ready. Before calling any of the three, the leader could test that with two questions. Who rated each name? What does that manager lose if the person moves? One study of a real company bears on the second question.

Ingrid Haegele studied a large German manufacturer, using its personnel records and surveys of its managers and workers.^[1] She starts from a common practice: most organizations depend on managers to identify talented workers.^[1] Each manager there gives a worker two ratings at the same time. The first rates performance in the current job and stays inside the team. The second rates potential for bigger jobs, and HR circulates lists of high-potential workers across the company.^[1] Haegele notes that the ratings are very similar to common assessments such as the nine-box grid, which places each person on a chart by performance and potential.^[1]

She looked for managers whose potential ratings fell below what their performance ratings and the workers' records would usually predict. Managers with more of their pay tied to team results were more likely to be in the third of managers whose ratings fell furthest below that level. So were managers with smaller teams, where one departure costs more. Comparing managers at the high and low ends of each, the difference in that chance was about 13 percentage points.^[1] Managers in functions where individual work is hard for others to see, such as finance, HR, and IT, were also more likely to be in that third. The firm counted project management among the functions where work is easy to see.^[1]

The managers said something similar. Asked how often a leader might need to talk a team member out of exploring another department because of team needs or goals, three-fourths said at least sometimes. Also, 55 percent agreed that developing talent is a conflict of interest, because developed people are more likely to leave.^[1] A manager who asks someone to finish a project first is doing ordinary management, and these answers cannot separate that from holding people back. The ratings are the harder evidence, and they point the same way.

This is where the list stops looking neutral. In that firm, the managers with the most to lose when someone leaves were more likely to rate their people's potential lower than performance suggested, and the potential rating is the one the rest of the company sees. By the time a list like that reaches the EPMO, those managers have helped decide who looks ready. Haegele's firm is not the leader's company. The last section shows how to find out whether the leader's list works the same way.

The people who never show up

A low rating is one way a person stays out of view. Not applying is another, and Haegele measured it with a natural event. When a manager learns they are moving to another team, they stop losing anything if workers leave. In the quarter the manager moved, workers' applications for jobs elsewhere in the company rose by 78 percent, from 2.9 percent of workers to about 5.2 percent.[1] The people who applied only because their manager was leaving were hired 49.1 percent of the time. The average applicant was hired 27.6 percent of the time.[1] In the survey, 41 percent of workers said they were afraid to apply for internal jobs in case their manager found out, and 25 percent said they felt they needed permission first.[1]

EXHIBIT 2

Workers who applied only when their manager was leaving were hired far more often

49.1% were hired, against 27.6% of the average applicant

One large German manufacturer. Ingrid Haegele, Talent Hoarding in Organizations, American Economic Review 116(8), 2026; figures from the open full-text version.

A manager's move could change things besides the manager's stake. Haegele tested other explanations, such as how well a worker and manager fit, and still reads the result as holding people back.[1] Her measure counts applications to posted jobs. A scarce role filled by appointment skips that step, but it still starts from the list, where the ratings sit.

A company that misses people inside may hire outside. Matthew Bidwell followed workers at a U.S. investment bank from 2003 to 2009. Outside hires were initially paid about 18 percent more than workers promoted into similar jobs, and their supervisors rated them lower for the first two years. Those who stayed were promoted faster.[2] The study does not show whether an overlooked person from

another team would have done better. Most internal moves at the bank were promotions inside the same unit, and the rare people who changed unit and level at once were rated lower than other internal movers.[2] That bears on moving someone across teams, which is why the rule below asks for evidence that matches the new role. Haegele shows how people get missed and Bidwell shows what an outside hire cost in one bank, and neither follows a person from a low rating to an outside hire.

Why pay and ratings are not an easy fix

Two fixes come to mind first. One is to change how those managers are paid. The EPMO leader typically does not set the pay of managers on other teams, and pay fixes carry costs. Guido Friebe and Michael Raith, in a working paper that has not been peer reviewed, build a model in which managers can be paid so that they stop holding people back. The cost of doing so can be larger than the gain. They also note that a simple bonus for sending people on tends to reward sending weaker ones.[3]

The other fix is fairer ratings, and it faces a different limit. Steven Scullen and colleagues studied 2,350 managers in one data set and 2,142 in another. Each was rated by seven people: two bosses, two peers, two subordinates, and the manager. The raters' own habits explained 62 and 53 percent of the differences in ratings. The person being rated explained 21 and 25 percent.[4] These were ratings for development, not talent reviews, so the numbers do not carry over to a talent review. They do show how much one rater's view can reflect the rater. That is why the rule below does not swap one person's opinion for another's.

A calibration meeting puts managers in one room to compare ratings. It leaves each manager's stake where it was.

A staffing rule for scarce roles

Use this rule for the few roles that are hard to fill and costly to get wrong, and not for every opening. Free movement has costs. Haegele notes that policies that ease movement could make managers invest less in developing people.[1] In the Friebe and Raith model, the gain from moves between divisions grows the more the senior role matters compared with the junior one, so the case is strongest for the roles that matter most.[3]

Treat the list as a set of leads

A name on it is worth a look. A missing name says little.

Ask for delivered work the current manager did not write

Good sources are results recorded by the program that received the work, and notes from reviewers on other teams. The receiving program has its own stake, so weigh recorded results over opinions. Match the evidence to the new role, because a strong record in the current job may not predict the next one. Alan Benson, Danielle Li, and Kelly Shue studied sales workers. Their evidence is consistent with firms weighing a seller's current sales above other measures that better predict how the person will do as a manager.[5]

Also look past the people already in view. Haegele found that managers with stronger incentives also restricted access to the trainings that make workers visible.[1] So search the receiving programs' own records for people nobody put forward.

Let someone outside the reporting line decide

Once the person says they want the role, someone outside the person's reporting line decides whether the person can move. The current manager has a say on timing and handover, and no veto. The move itself follows the company's HR process and any employee-representative rules. Haegele found that workers fear retaliation for applying, and she writes that such policies work only if the firm can stop managers from retaliating, for example by keeping applicants confidential.[1]

Help the manager replace the person, and credit what comes next

The manager should get help filling the gap and credit for what the person does next. In Haegele's survey, 68 percent of managers said they would be more likely to support careers if replacing a lost person were easier. More visibility and recognition drew 52 percent, and financial incentives 21 percent.[1] The pay model suggests tying credit to the mover's later results, not to the move itself, so that managers are not paid to send weaker people.[3] Managers may also lose less than they fear. In one large U.S. company, managers whose people were promoted later drew more, stronger, and more varied internal applicants for their own openings. That is an association in one company, not a test.[6]

No study has tested these four steps together. They are this paper's recommendation, built from the studies above.

Here is a made-up case. The list for the cutover job shows three names, all rated ready now. A fourth person's manager rated her ready in two years. Last year she ran the data migration for another program, and that program's director recorded it as finished on time. Nothing on the list shows this, and the program's records do. Under the rule, her name joins the shortlist and all four are checked against delivered work.

Someone outside her reporting line then decides, with her agreement, whether she can move.

What to do next

Take the last three scarce roles you filled from a list. For each one, write down who was on the list and who rated each name. Also write down how much of that manager's pay depends on team results and how large the team is. Those are the stakes Haegele found to matter. Then ask the programs that received work from people across the company for the last two years of delivered results, and write down anyone with strong results who was not on the list, with the pay share and team size of that person's manager. If that second list is empty, the list did not miss anyone you would have considered, and it cost a few records requests to learn that. If it is not empty, the list has been missing people for the roles you can least afford to get wrong, and the next fill should follow the rule above. If those people work for managers with more at stake, that matches what Haegele found.

The leader with three names can now see who rated each one and what each of those managers has at stake. The last-three-fills test shows whether the people the list missed worked for the managers with the most at stake. Either way, the leader checks the three names, and anyone the programs' records add, against delivered work before choosing.

Notes and sources

[1] Ingrid Haegele, "Talent Hoarding in Organizations," *American Economic Review* 116, no. 8 (2026): 3110-3151. Figures are from the author's open full-text version (arXiv:2206.15098, v3, July 2025). <https://arxiv.org/pdf/2206.15098>

[2] Matthew Bidwell, "Paying More to Get Less: The Effects of External Hiring versus Internal Mobility," *Administrative Science Quarterly* 56, no. 3 (2011): 369-407. Author-hosted version. https://faculty.wharton.upenn.edu/wp-content/uploads/2012/03/Paying_More_ASQ_edits_FINAL.pdf

[3] Guido Friebel and Michael Raith, "Talent Management: The Role of Bosses," RFBerlin Discussion Paper 31/25, July 2025 (working paper, not peer reviewed). <https://www.rfberlin.com/wp-content/uploads/2025/07/25031.pdf>

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[5] Alan Benson, Danielle Li, and Kelly Shue, "Promotions and the Peter Principle," Quarterly Journal of Economics 134, no. 4 (2019): 2085-2134. Free version: NBER Working Paper 24343. <https://www.nber.org/papers/w24343>

[6] J. R. Keller and Kathryn Dlugos, "Advance 'Em to Attract 'Em: How Promotions Influence Applications in Internal Talent Markets," Academy of Management Journal 66, no. 6 (2023): 1831-1859. Abstract record at <https://pure.psu.edu/en/publications/advance-em-to-attract-em-how-promotions-influence-applications-in/>

About the author

Marco Policani is an enterprise portfolio, PMO, and AI operating-governance leader. He builds portfolio governance systems where AI carries the analytical load and named humans own every decision — an approach documented across case studies, walkthroughs, and working governance guides on his portfolio site.

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